

26CHCV02125 26CHCV02125

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Case Number: 26CHCV02125 Hearing Date: September 21, 2026 Dept: F49

Dept. F49

Date: 9/21/26

Case Name: Jose D. Martinez vs. Hyundai Motor America;
and Does 1-10

Case No. 26CHCV02125

LOS ANGELES SUPERIOR COURT

NORTH VALLEY DISTRICT

DEPARTMENT F49

SEPTEMBER 21, 2026

MOTION TO COMPEL BINDING
ARBITRATION

Los Angeles Superior
Court Case No. 26CHCV02125

Motion filed: 8/18/26

MOVING PARTY: Defendant Hyundai Motor America

RESPONDING PARTY: Plaintiff Jose D. Martinez

NOTICE: OK

RELIEF REQUESTED: An order from this Court: (1) compelling Plaintiff to submit to arbitration, and (2) staying proceedings pending the outcome of arbitration.

TENTATIVE RULING: The Motion is GRANTED.

BACKGROUND

This action arises from alleged defects in a 2025 Hyundai Palisade (the "Subject Vehicle") purchased by Plaintiff Jose D. Martinez ("Plaintiff"). On May 27, 2025, Plaintiff filed the Complaint against Defendant Hyundai Motor America ("Defendant") and Does 1 through 10, alleging the following causes of action: (1) violation of the Song-Beverly Consumer Warranty Act for breach of express warranty, (2) violation of the Song-Beverly Consumer Warranty Act for breach of implied warranty, and (3) violation of Business and Professions Code section 17200.

On August 18, 2026, Defendant filed the instant Motion to Compel Arbitration and for Stay of Proceedings (the "Motion").

On September 11, 2026, Plaintiff filed an Opposition.

On September 14, 2026, Defendant filed a Reply.

ANALYSIS

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists." (Code Civ. Proc., § 1281.2.) The court must order arbitration unless it determines that the moving party has waived the right to compel arbitration or "[g]rounds exist for the rescission of the agreement." (Ibid.)

If a court orders arbitration of a controversy, the court must, on motion of a party, “stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or under such earlier time as the court specifies.” (Code Civ. Proc. § 1281.4.)

A. Request for Judicial Notice

The Court may take judicial notice of “[r]ecords of ... any court of this state” and “[f]acts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy.” (Evid. Code, § 452, subds. (d), (h).) The Court must take judicial notice of the foregoing matters if a party requests it and furnishes the Court with sufficient information to enable to take judicial notice. (§ 453.)

Upon taking notice of court records, the court accepts as true only that (1) they were filed, and (2) the assertions therein were made; the court does not take notice of the truth of their contents. (See *Joslin v. H.A.S. Insurance Brokerage* (1986) 184 Cal.App.3d 369, 374-375; see also *Day v. Sharp* (1975) 50 Cal.App.3d 904, 916.)

Defendant

requests that the Court take judicial notice of the following documents: (1) Plaintiff's Complaint in this action, and (2) the Hyundai 2025 Owner's Handbook and Warranty Information, Publication No. USAHYUNDAI-240425, Rev. 2024-04-25 (the “Warranty Handbook”), which is available online at Defendant's website.

Plaintiff's

Complaint is undeniably a record of a court of this state and relevant to the action. It is accordingly a proper subject of judicial notice.

As to the

Warranty Handbook, the Court does not find that Defendant's website constitutes a source of reasonably indisputable accuracy. The Warranty Handbook is accordingly not subject to judicial notice.

Based on the foregoing, the request for judicial notice is GRANTED IN PART. The Court takes judicial notice of the Complaint insofar as it was filed and allegations were made therein.

B. Motion to Compel Arbitration

Defendant moves to compel Plaintiff's Song-Beverly claims into arbitration and to stay the action pending the outcome of arbitration. The instant motion is based on two alternative arbitration agreements: (1) the arbitration provision contained within Defendant's Connected Services Agreement ("CSA"), and (2) the New Vehicle Limited Warranty ("NVLW") contained within the Warranty Handbook. (Mot., at p. 7.)

(1)

Applicable Law

The Federal Arbitration Act ("FAA") applies to written provisions to arbitrate disputes arising from a contract evidencing a transaction involving interstate commerce. (*Allied-Bruce Terminix Companies, Inc. v. Dobson* (1995) 513 U.S. 265, 281; see 9 U.S.C. § 2.) Transactions involving multistate companies shipping goods from out-of-state are considered transactions involving interstate commerce. (*Id.*, at pp. 281-282.) Parties may also expressly agree that the FAA govern their agreement to arbitrate their disputes. (See *Rodriguez v. American Technologies* (2006) 136 Cal.App.4th 1110, 1121-1122.)

Defendant contends that the FAA applies to any arbitration agreement between the parties because it is a multistate company that markets and distributes vehicles nationwide. (Mot., at p. 11.) Defendant also asserts that the terms of the CSA and NVLW expressly provide that the FAA will govern the agreements. (*Id.*; Rao Decl., Exh. E, ¶ 23; Goel Decl., Exh. F, at p. 14.)

The Court agrees that the sale of consumer products distributed in interstate commerce implicates the FAA. Moreover, the arbitration provisions at issue expressly state that the FAA will govern the agreements. Plaintiff does not dispute the applicability of the FAA,

instead arguing that the CSA and NVLW are not enforceable. Accordingly, insofar as a valid arbitration agreement exists between the parties, the FAA governs enforceability.

At the same time, the FAA's savings clause (9 U.S.C. § 2) preserves the general application of state-law contract principles—such as mutual assent and defenses including unconscionability—in determining whether an agreement to arbitrate a dispute exists. (*Rent-A-Center, West, Inc. v. Jackson* (2010) 561 U.S. 63, 68 [“Like other contracts, [arbitration agreements] ... may be invalidated by ‘generally applicable contract defenses, such as fraud, duress, or unconscionability.’”]; *Mundi v. Union Security Life Insurance Co.* (9th Cir. 2009) 555 F.3d 1042, 1044.)

As a threshold matter, therefore, the Court proceeds to consider whether an enforceable arbitration agreement exists between the parties and, if so, whether any contract defenses bar enforcement.

(2)

Existence and Enforceability of the CSA

(a)

Existence of Agreement

The party moving to compel arbitration has the burden of proving the existence of the agreement by a preponderance of the evidence. (*B.D. v. Blizzard Entertainment, Inc.* (2022) 76 Cal.App.5th 931, 949 (*Blizzard*).) The moving party generally meets its burden by presenting a copy of the signed contract to the court or by setting forth the provisions of the agreement in the motion. (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.) Under California Rules of Court, Rule 3.1330, a copy of the agreement must be attached and incorporated by reference or the terms of the agreement stated verbatim.

Once a copy of the contract is presented to the Court, the burden shifts to the opposing party to produce evidence challenging the authenticity of the agreement. (*Gamboa*, *supra*, 72 Cal.App.5th, at p. 165.) “If the opposing party meets its burden of

producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties.” (Ibid.)

Defendant contends that the arbitration provision of the CSA is enforceable to compel Plaintiff into arbitration. Defendant attaches a copy of the agreement to the declaration of Vijay Rao (“Rao”). (Rao Decl., Exh. E.) Rao attests that on February 28, 2025, Plaintiff enrolled in “Bluelink” services, an optional telematics technology that provides on-demand diagnostics and alerts and other accessibility services. (Id., ¶¶ 4, 8.) Rao explains that, to enroll in Bluelink services, a customer must agree to the then-effective CSA. (Id., ¶ 7.) A customer cannot access Bluelink services without first activating Bluelink in their personal Customer Web Portal (“Web Portal”), agreeing to the CSA, and completing a “Checkout.” (Id., ¶¶ 9-14.) The process requires the customer to affirmatively check a box indicating that they agree to the CSA. (Id., ¶ 14.) Rao attaches a database record generated when Plaintiff enrolled in Bluelink services that shows he accepted the CSA on February 28, 2025 for a vehicle with VIN No. KM8R3DGE4SU897449, the same VIN as the Subject Vehicle. (Id., Exh. D; Compl., ¶ 7.)

The CSA includes an arbitration clause that states, in relevant part:

WE EACH AGREE THAT ANY DISPUTE THAT IS NOT RESOLVED BY AN INFORMAL DISPUTE RESOLUTION CONFERENCE (AS DEFINED AND DESCRIBED BELOW) SHALL BE RESOLVED IN CONFIDENTIAL BINDING ARBITRATION CONDUCTED BEFORE ONE ARBITRATOR FROM THE AMERICAN ARBITRATION ASSOCIATION (“AAA”) PURSUANT TO THE AAA ARBITRATION RULES, RATHER THAN IN A COURT, AS DESCRIBED IN THIS ARBITRATION AGREEMENT (THE “ARBITRATION AGREEMENT”).

(Rao Decl., Exh. E, ¶ 23.3.) The CSA defines “Dispute” as “any legal claim or controversy arising out of, or relating to, these Terms and Conditions or breach of the New Vehicle Limited Warranty, as well as any claim or controversy regarding the applicability, enforceability, or validity of any provision of these Terms and Conditions and the New Vehicle Limited Warranty.” (Id., Exh. E, ¶ 23.4.)

Plaintiff contends in Opposition that Defendant fails to provide evidence that Plaintiff ever saw or received a copy of the CSA. (Opp’n, at pp. 3, 5.) Plaintiff’s argument both misunderstands

the burden and ignores substantial decisional authority upholding the enforceability of similar agreements. (E.g. *Blizzard*, supra, 76 Cal.App.5th, at p. 946 [courts generally find clickwrap and “scrollwrap” agreements to be enforceable].)

As to the burden, once Defendant provides prima facie evidence of the existence of the contract, the burden becomes Plaintiff's to dispute the validity of the agreement. Here, Defendant has attached a copy of the CSA and provided evidence that Plaintiff manifested assent to its terms, by checking a box acknowledging agreement and then clicking through to complete enrollment. This evidence is sufficient to shift the burden to Plaintiff to produce evidence that the CSA is not authentic. While Plaintiff argues that Defendant has not shown that it ever provided the agreement to Plaintiff, argument is not evidence. Plaintiff has submitted no evidence to dispute that he manifested assent to the CSA by checking the acknowledgement, that the terms of the CSA were not hyperlinked for him to view prior to checking the acknowledgement, or that the agreement attached to Rao's declaration is not the agreement to which he assented.

As to whether the form of the agreement is sufficient to establish mutual assent, courts have found that clickwrap agreements, in which a user is required to accept the terms of a linked agreement by clicking a button, are generally enforceable because the user must actively confirm their assent to the agreement. (*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 470.) Here, there is evidence that Plaintiff did just that. Defendant's enrollment database shows that Plaintiff completed the enrollment, which necessarily required him to check the acknowledgment to proceed.

Plaintiff cites *Doe v. Massage Envy Franchising, LLC* (2022) 87 Cal.App.5th 23 to argue that even if Plaintiff assented to the CSA, he assented only to terms related to the Bluelink services and did not assent to arbitrate controversies related to the general warranty provisions of the Subject Vehicle. (Opp'n, at p. 7.)

First, the facts of *Doe* are distinguishable. In *Doe*, the plaintiff was presented with two separate agreements while checking in for a massage at a retail franchisee. (*Doe*, at pp. 28-29.) During check-in, the plaintiff was required to scroll through the general consent to the massage service, then check a box next to a linked

"Terms of Use Agreement," then sign her name and click a button to complete the check-in (Ibid.) The "Terms of Use Agreement" purported to be an agreement between the plaintiff and the massage location's franchisor. The Court there found that the presentation of the checkbox just after the plaintiff had finished scrolling through the general consent made the checkbox appear to be part of the consent. (Id., at p. 32.) The Court determined that the placement and context of the checkbox did not make it apparent that the plaintiff was assenting to the separate "Terms of Use Agreement," which it described as "an entirely different contract with an entirely different entity." (Ibid.)

Here, the checkbox that Plaintiff had to check to proceed with the Bluelink services enrollment appears directly to the left of text stating "By checking this box, I agree to" three linked agreements: (1) "HMA's Privacy Policy," (2) the "Vehicle Technologies and Services Privacy Notice," and (3) the CSA. (Rao Decl., Exh. D.) The orientation of the checkbox and presentation of the agreements in this manner make clear that a consumer enrolling in Bluelink is agreeing to abide by the terms of three separate agreements, all of which are available to review. The ambiguity present in Doe regarding what terms were being agreed to is accordingly absent here.

Moreover, Plaintiff again fails to produce evidence that he did not see the agreement, was unaware of the arbitration provision, or did not agree to it. He has therefore failed to rebut Defendant's evidence that he affirmatively agreed to the terms of the CSA.

The Court finds that the CSA is a valid agreement to arbitrate between the parties.

(b)

Unconscionability

Plaintiff also contends that the arbitration provision is unconscionable. Unconscionability has both a procedural and a substantive element. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114.) Both must be present for a court to exercise its discretion to refuse to enforce an arbitration clause. (Ibid.) They operate on a sliding scale such that "the more substantively oppressive the contract term, the less evidence of procedural

unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Ibid.)

Contracts of adhesion are generally considered procedurally unconscionable. (Armendariz, *supra*, at p. 113.) An adhesive contract is a standardized contract imposed and drafted by the party with superior bargaining power, offering the other party the opportunity only to adhere to the contract or reject it. (Ibid.)

A contract is substantively unconscionable if it includes contract terms that are significantly one-sided or impose harsh or oppressive terms. (Parada v. Super. Ct. (2009) 176 Cal.App.4th 1554, 1573.) “Substantive unconscionability may be shown if the disputed contract provision falls outside the nondrafting party’s reasonable expectations. [Citation.]” (Ibid.)

Plaintiff contends that the CSA is substantively unconscionable because it deprives Plaintiff of the choice of arbitrator and of the right to a jury trial and otherwise unconscionable because it is “grossly overbroad” in scope and vague in its coverage of disputes relating to “your Vehicle.” (Opp’n, at pp. 1, 6.) Plaintiff also asserts that the agreement was presented on a “take it or leave it” basis that left no real opportunity to negotiate. (Id., at p. 1.)

The Court agrees with Plaintiff that the CSA was presented in a manner that precluded negotiation of the terms. As Rao explains, to activate and access Bluelink services, a customer must agree to the CSA. (Rao Decl., ¶ 14.) This makes the contract adhesive and supports a general finding of procedural unconscionability. Moreover, the arbitration provision of the CSA is inserted into the bottom of the agreement and is set in typeface that makes it indistinguishable from surrounding provisions. (Rao Decl., Exh. E.) It is unlikely that a consumer viewing the CSA in this manner would see and understand that the arbitration provision would affect his rights with regard to warranty claims connected to the Subject Vehicle. The Court thus finds the CSA to be highly procedurally unconscionable.

Plaintiff’s remaining points speak to substantive unconscionability. First, the Court does not find the agreement to be impermissibly vague. While “your Vehicle” is not defined in the agreement, the words, given their plain and ordinary meaning, can be understood

to mean the vehicle purchased by the consumer and for which the Bluelink services are being activated. As they relate to this action, terms that purport to govern “your Vehicle” or “the Vehicle” thus unambiguously refer to the Subject Vehicle.

As to the breadth of the arbitration provision, it purports to apply to any claim or controversy arising out of or relating to the CSA, breach of the NVLW, and any claim or controversy related to the applicability, enforceability, or validity of the CSA. The provision is thus tied specifically to the underlying vehicle purchase and related services. The Court does not find that the provision is overbroad.

Lastly, Plaintiff argues that the arbitration provision is unconscionable because he is deprived of a jury trial and of the choice of arbitrator. These assertions are largely conclusory, and the terms of the agreement themselves do not constitute blanket deprivations of these rights. The jury trial waiver only operates “to the maximum extent permitted by law,” preserving the right to jury trial for disputes that are not legally arbitrable. (Rao Decl., Exh. E, ¶ 23.14.) And the arbitration rules require that the parties select a “mutually agreeable” arbitration organization to arbitrate the dispute. (Id., Exh. E., ¶ 23.8.3.) Rather than depriving Plaintiff of the choice of arbitrator, the arbitration provision requires cooperation in the selection of the arbitrator. Plaintiff’s arguments concerning these points are accordingly unavailing, and Plaintiff has not shown that the arbitration provision of the CSA is substantively unconscionable.

Based on the foregoing, the Court finds that the arbitration provision of the CSA is enforceable against Plaintiff.

(c)
Scope

The CSA’s arbitration provision includes a delegation clause providing that the initial issues of scope and arbitrability are to be determined by the arbitrator. (Rao Decl., Exh. E, ¶ 23.11.) The determination whether this matter is within the scope of the provision is accordingly an issue for the arbitrator to decide.

Based on the foregoing, the Court

GRANTS the Motion.

(3)

The NVLW – Estoppel

Defendant asserts that Plaintiff is estopped from denying the enforceability of the arbitration provision of the NVLW because he has invoked warranty benefits in his Complaint. (Mot., at pp. 15-17.) The doctrine of equitable estoppel precludes a litigant from asserting claims based on a contract while also avoiding the burdens imposed by that contract. (Kramer v. Toyota Motor Corp. (9th Cir. 2013) 705 F.3d 1122, 1128.) As the Court has found the CSA to be enforceable, it need not determine the applicability of equitable estoppel.

C.

Costs

Defendant requests reimbursement of costs under Code of Civil Procedure sections 1293 and 1293.2 for appearing to compel arbitration. (Mot., at pp. 20-21.)

Code of Civil Procedure section

1293 allows the Court to make any order provided for in Title 9 of the Code of Civil Procedure, which governs arbitration. Section 1293.2 permits the Court to award costs “upon any judicial proceeding under this title as provided in Chapter 6 (commencing with Section 1021) of Title 14 of Part 2 of this code.” Awardable costs are thus confined to the costs recoverable under the general cost statute. Those costs are available to the prevailing party in an action. (Code Civ. Proc., § 1032.) Here, resolution of the Motion is not a final determination of the rights of the parties, and it is premature to determine who the prevailing party in the action is. The request for fees is therefore DENIED.

CONCLUSION

The Court GRANTS Defendant’s Motion to Compel Binding Arbitration. The action is stayed pending the outcome of arbitration.

Defendant’s request for costs is

DENIED.

Moving party to give notice.